

how Nanda had saved this well. Nanda gave a brilliant answer, “*The minute I started working, my parents wanted to buy a piece of land, beachside along Pondicherry’s coast. They wanted to move there so that it would be my parent’s retirement home. This definition of why I’m saving made all the difference as I had strong motivation and emotional reasons behind it.*” Simple but highly effective.

Swami, on the other hand, was saving because he had to save some percentage of his salary. Spending everything was considered immoral, so he saved at random and in minimal amounts. When the opportunity arose for a 2-week trek, he leaped at it as he had saved enough. After the trip, most of his savings had been wiped out.

The jarring difference was: when Nanda was cooking at home on weekends, he was eyeing that piece of land, instead of having expensive dine-outs with friends. When Swami would bring home-cooked meals on a weekday to the office, he was thinking about saving for saving’s sake. This difference in motivation paves the way for a clear habit structure. In fact, putting a perspective to saving makes the difference between ‘stars and dogs’ when we try to save more.

Tip #2: Break it down and automate the RD

If I tell you to

- Pay a monthly house-rent of 6k.
- Buy a 90k bike without EMI.
- and still finish with 3L of savings in 3 years on a 24k take-home job, you’d scream expletives back at me.

But this is exactly what my friend Nanda did with consummate ease. He wasn’t a miser and would spend at will during weekends. In fact, he worries much lesser about finance than a person who counts his pennies to save dramatically. To help you, here are 2 ideas from him, that’ll make it possible for you too:

- i) From your salary account, open a RD and name it ‘*Land Downpayment*’ or any tangible goal. Make sure to automate this process as you can’t interfere with this gravy train
- ii) Break down the numbers: 3 lakhs in 3 years for any new IT recruit (3.8 LPA CTC) might sound audacious. But break it down and it is just 8000 per month. This is certainly doable